A Tax Break

Up to $2,500 a year in interest on some student loans (Stafford, PLUS, Perkins, consolidation, and private) may be tax deductible, if certain criteria, such as income limits, are met. The proceeds of the loan must have been used for qualified higher education expenses (tuition, fees, room and board, supplies, and other related expenses), and you must have been enrolled at least half-time in a qualified program at an eligible institution.

ALERT

A survey conducted by Collegiate Funding Services found that more than half (54 percent) of the student loan holders surveyed had not heard of the Federal Direct Consolidation Loan program, a program enacted by Congress to make repaying federal student loans more affordable.

After 2002, the rule that you could only deduct interest for the first sixty months of your loan has been eliminated. You can now deduct interest no matter how long you've had the loan. Also in 2002, the income limits were increased. For 2012, deductibility phased out if your income was between $55,000 and $70,000 for single taxpayers and $110,000 and $140,000 for couples filing jointly. These limits are increased from time to time to adjust for inflation, so see IRS Publication 970 for up-to-date limits. However, unless Congress votes to preserve the law, the 2002 changes outlined above will no longer be the law after 2012. If you paid more than $600 in interest on your student loans during the year, your lender will send you a Form 1098-E showing the amount paid. To claim the amount on your income taxes, you must file Form 1040 or 1040A, but unlike the mortgage interest deduction, you don't have to itemize in order to get the deduction. If you're married, you have to file jointly.